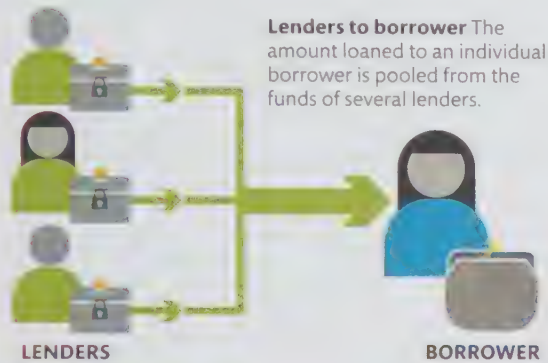
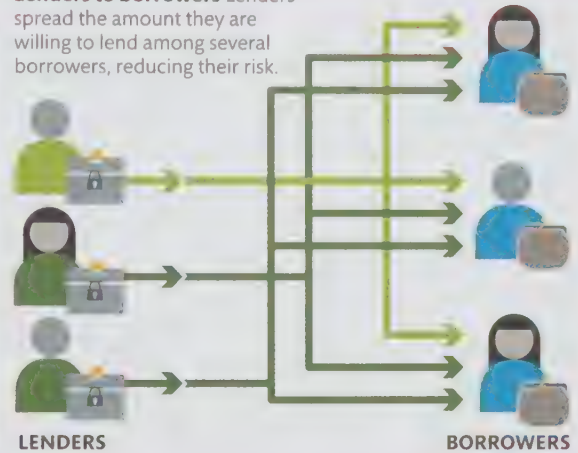


SPREADING YOUR RISK

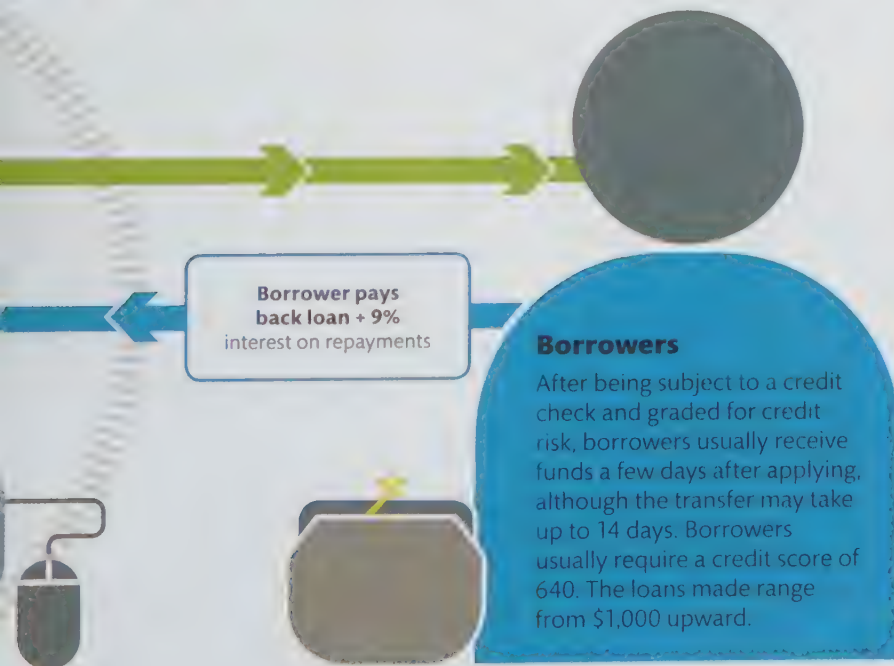
Some lenders reduce their risk by actively managing their loans, providing a portion of what they are willing to lend to one borrower, and leaving other lenders to provide the rest.



Lenders to borrowers Lenders spread the amount they are willing to lend among several borrowers, reducing their risk.



\$1 trillion the forecasted value of global P2P lending by 2025



WARNING

- ▶ **Defaults** A P2P lender risks not being repaid if the borrower defaults on their loan.
- ▶ **Intermediary only** P2P firms do not have large cash reserves.
- ▶ **Protection** Savings are not FDIC-insured.
- ▶ **Liability** If a P2P firm goes bust, lenders are then liable for collecting the loans themselves.
- ▶ **Untested** As P2P is a relatively new form of lending, it has not yet been tested in a tough climate such as a recession.